

Title Report - Lender - commitment should work - 2

LENDER TITLE SUMMARY REPORT

Commitment Number: 01-26006219-01T
Property: 675 Bunker Hill Road, Columbia, MS 39429-7832
Loan ID: MS-26-1226
Readiness Score: 67/100
Report Date: January 16, 2026

EXECUTIVE SUMMARY

?? CLOSING CANNOT PROCEED -- Title Commitment 01-26006219-01T contains critical defects that must be resolved before policy issuance. The transaction presents unacceptable title risk in its current state.

Status Finding
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Critical Issue Wrong grantee in recorded deed; chain of title break
High Priority LLC authority and member consent documentation missing
Loan Policy Risk Cannot issue \$80,808.00 loan policy without title clearance
Timeline Impact Closing delayed pending corrective actions

PROPERTY & TRANSACTION DETAILS

Property Information

- Address: 675 Bunker Hill Road, Columbia, MS 39429-7832
- County: Marion County, Mississippi
- Parcel Number: 074-04-000-04-005
- Acreage: 88.00 acres
- Legal Description: Multiple parcels (NE1/4 SE1/4, SE1/4 NE1/4, and 13.98 acres in NE1/4 NE1/4 of Section 4)
- Estate Type: Fee Simple

Transaction Parties

Party Role Status
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GARNER TREE FARM, LLC Vested Owner/Grantor ?? Discrepancy
Terri G. Crawley Seller (Individual) ?? Discrepancy

Kyla B. Fortenberry	Proposed Buyer/Owner	? Correct
Society Mortgage	Lender	? Correct
Old Republic National Title	Underwriter	? Correct

Loan Details

- Loan Amount: \$80,808.00
- Owner's Policy Amount: \$80,000.00
- Policy Type: 2021 ALTA Owner's & Loan Policies
- Commitment Date: January 16, 2026

CRITICAL TITLE DEFECTS

? CRITICAL: Requirement 4 -- Wrong Grantee in Recorded Deed

Issue: The deed recorded on January 13, 2026 (Instrument #20260174) conveys the property to Christopher Lane Thornhill and Sara E. Jackson, NOT to Kyla B. Fortenberry as required.

Impact:

- Creates a chain of title break that prevents policy issuance to the proposed buyer
- Violates Requirement 4 mandate
- Title cannot pass to Kyla B. Fortenberry without corrective action
- Owner's policy cannot be issued

Required Action:

- Obtain a corrected warranty deed from GARNER TREE FARM, LLC naming Kyla B. Fortenberry as sole grantee
- Record corrected deed in Marion County records
- Provide recorded copy to title company for commitment amendment

Timeline: Must be completed before closing

? HIGH PRIORITY: Requirement 1 & 6 -- LLC Authority & Member Consent

Issue: Vested owner is GARNER TREE FARM, LLC (a Mississippi LLC with 4 members), but seller is listed as Terri G. Crawley (individual member). This creates ambiguity regarding:

- Whether the LLC has authority to convey
- Whether all members consent to the sale
- Whether Terri G. Crawley is authorized to act on behalf of the LLC

LLC Members Identified:

- Ricky Lane McPhail
- Terri Garner Crawley

- Patsy Garner Brewton
- Karen Garner Delancey

Required Documentation (Requirement 6):

- [] Copy of LLC Operating Agreement and all amendments (or certification that none exist)
- [] Certificate of Good Standing from Mississippi Secretary of State
- [] Resolution signed by all four members authorizing the sale and conveyance
- [] Clarification of Terri G. Crawley's authority to execute documents on behalf of LLC

Impact: Cannot close without documented member authorization

Timeline: Must be submitted and reviewed before closing

OUTSTANDING REQUIREMENTS STATUS

Req #	Requirement	Status	Priority	Action Required
1	Vested Owner/Seller Discrepancy	? OPEN	HIGH	Submit LLC documentation; clarify authority
2	Verify Open Deed of Trust	? SATISFIED	--	No open DOT found in Marion County records
3	Bankruptcy Search	? SATISFIED	--	No proceedings found for LLC, Crawley, or Fortenberry
4	Record Deed to Kyla B. Fortenberry	? OPEN	CRITICAL	Record corrected deed with correct grantee
5	Record Deed of Trust	? OPEN	HIGH	Record DOT from Kyla B. Fortenberry to Society Mortgage (\$80,808.00)
6	LLC Documentation & Compliance	? OPEN	HIGH	Submit operating agreement, good standing cert, member resolution

EXCEPTIONS ANALYSIS

Standard Exceptions (Acceptable)

- Exception 2: Defects appearing after commitment date
- Exception 3: Survey exceptions
- Exception 4: Rights of parties in possession
- Exception 5: Mechanics' and contractors' liens
- Exception 6: Changes in title after commitment date
- Exception 7: Current and future taxes and special assessments

Mineral Interests -- Duplicate Exceptions (Requires Consolidation)

Exception 1: Mineral Reservations

"Any prior reservation or conveyance of minerals of every kind and character, including oil, gas, sand and gravel"

Exception 8: Oil, Gas, Coal and Mineral Interests

"Oil, gas, coal and other mineral interests together with the rights appurtenant thereto"

Finding: Both exceptions address the same subject matter. The warranty deed confirms minerals are severed and reserved from the property conveyance.

Recommendation: Consolidate into single exception for clarity in final policy.

Easements (Acceptable with Verification)

Exception	Beneficiary	Date Recorded	Status
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9	VYVX, INC.	06/09/1997	Acceptable
10	Bunker Hill Water Association	07/21/2010	Acceptable
11	Bunker Hill Water Association	04/10/2023	Acceptable

Note: Water easements are standard for rural property. Verify with buyer that easements are acceptable.

Taxes & Assessments (Current)

- 2025 County Taxes: 1st installment \$1,132.52 (PAID)
- Delinquent Amount: \$0.00
- Assessed Value: \$9,030.00

RISK ASSESSMENT FOR LENDER

Loan Policy Issuability: AT RISK

Risk Factor	Severity	Impact on Loan Policy
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Wrong grantee in deed	CRITICAL	Cannot issue policy; title does not vest in borrower
LLC authority unconfirmed	HIGH	Grantor may lack authority to convey
Missing deed of trust recording	HIGH	Lender's security interest not perfected
Mineral severance	LOW	Standard exception; does not affect lender's security
Easements	LOW	Acceptable; do not impair lender's security

Underwriting Recommendation

- DO NOT FUND until:
- ? Corrected deed recorded with Kyla B. Fortenberry as grantee
 - ? LLC documentation submitted and reviewed
 - ? Deed of Trust recorded in Marion County
 - ? Title company confirms readiness to issue policies

CLOSING READINESS ASSESSMENT

Current Readiness Score: 67/100

Readiness Breakdown

Category	Status	Score
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Title Vesting	? DEFECTIVE	0/25
Requirements Satisfaction	? INCOMPLETE	15/25
Exception Management	?? ACCEPTABLE	20/25
Documentation	? INCOMPLETE	17/25
TOTAL	NOT READY	67/100

Closing Readiness: NOT APPROVED

Estimated Timeline to Closing Readiness: 5-7 business days (pending receipt and review of corrected documents)

RECOMMENDATIONS

Immediate Actions (Within 24 Hours)

1. Contact Seller/Grantor Immediately
- Advise of wrong grantee issue in recorded deed

- Request immediate execution of corrected warranty deed naming Kyla B. Fortenberry

- Confirm GARNER TREE FARM, LLC authority to execute
2. Request LLC Documentation
- Operating agreement and amendments

- Certificate of Good Standing from Mississippi Secretary of State

- Member authorization resolution (all 4 members must sign)

- Clarification letter regarding Terri G. Crawley's authority
3. Coordinate with Closing Agent
- Prepare corrected deed for recording

- Prepare deed of trust for recording

- Confirm recording timeline with Marion County Recorder

Before Closing

4. Verify Deed Recording
- Confirm corrected deed recorded with correct grantee

- Obtain recorded copy and instrument number
- Verify no intervening liens or claims

5. Record Deed of Trust

- Prepare DOT from Kyla B. Fortenberry to Society Mortgage
- Record in Marion County
- Obtain recorded copy for lender

6. Title Company Commitment Amendment

- Request amended commitment reflecting corrected deed
- Confirm removal of wrong grantee issue
- Confirm readiness to issue both owner's and loan policies

7. Final Title Review

- Obtain updated title search
- Confirm no new defects since commitment date
- Verify all requirements satisfied

Lender Approval Conditions

Loan cannot be funded until:

- ☐ Corrected deed recorded with Kyla B. Fortenberry as grantee
- ☐ LLC documentation reviewed and approved
- ☐ Deed of Trust recorded and perfected
- ☐ Amended commitment issued showing readiness for policy issuance
- ☐ Title company confirms no title defects prevent policy issuance
- ☐ Readiness score reaches minimum 90/100

CONCLUSION

Status: TRANSACTION NOT READY FOR CLOSING

The critical grantee discrepancy in the recorded deed creates an unacceptable title defect that prevents policy issuance and loan funding. Combined with unresolved LLC authority issues and missing deed of trust recording, this transaction presents substantial risk.

Lender should not commit to funding timeline until corrective documents are received, reviewed, and recorded. Estimated 5-7 business days to resolve if parties cooperate promptly.

Next Review: Upon receipt of corrected deed and LLC documentation

Report Prepared By: Title Insurance Report System

Underwriter: Old Republic National Title Insurance Company

